Bansal Wire Industries Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Delhi-based maker of steel wire, about 3,500 products in low-carbon, high-carbon and specialty wire for auto, infrastructure, farming, power and engineering customers. Its big new plant at Dadri gives it scale. It earns a margin per tonne over the price of steel wire rod it buys.

Number	Value	What it means
Market cap	Rs 4,695 cr	What the market values the whole company at (Screener).
Q2 FY27 revenue	Rs 1,308 cr	Up 24% on last year; a record quarter.
Q2 FY27 EBITDA	Rs 105 cr	Up 29%; about Rs 8,000 a tonne, the highest ever, of which about Rs 200 a tonne was a one-time inventory gain.
Q2 FY27 profit	Rs 53 cr	Up 38% on last year.
Volume	1,29,000 tonnes	Up from about 1,14,600 tonnes a year ago.
Debt	About Rs 300 cr, 0.2x equity	Cut by about 40% in six months from strong cash flow.

2. Concall coverage

Quarter	Date	Transcript read?
Q1 FY26	22 Jul 2025	Yes (key passages)
Q2 FY26	4 Nov 2025	Yes (key passages)
Q3 FY26	20 Jan 2026	Yes (key passages)
Q4 FY26	30 Apr 2026	Yes (key passages)
Q1 FY27	23 Jul 2026	Yes (key passages)
AGM	17 Sep 2026	Skipped (AGM transcript, not an earnings call)
Q2 FY27	23 Oct 2026	Yes, read in full ★

Six earnings calls over about 15 months, since soon after the 2024 listing; earlier calls are on Screener.

Latest concall highlights: Q2 FY27 (23 Oct 2026)

- Record revenue, EBITDA and profit; EBITDA per tonne about Rs 8,000 from Dadri scale benefits, a better mix (low-carbon at the lower end of 55-60%, more retail B2C wire) and a small inventory gain.
- Operating cash flow Rs 339 cr in H1, nearly the full-year aim; debt down about 40% to about Rs 300 cr. Two-year operating cash target raised to about Rs 800 cr for FY27-FY28. Annualised ROCE about 22% vs a 25% goal.
- Guidance: volume up 20% in H2 vs last year's H2; EBITDA Rs 7,000-7,500 a tonne (management calls this conservative). Wire-rod shortage hit some October output.
- Capacity: 60,000 tonnes more at Dadri and a new 90,000-tonne plant in Gujarat (Sanand) take total from 6.8 lakh to about 8.3 lakh tonnes by end of next year. Capex Rs 200-225 cr a year.
- Specialty wire: IHT wire EBITDA positive; OHT line (6,000 tonnes) due Q3-Q4; steel tyre cord trial orders from two customers, commercialisation maybe this year. Steel cord was delayed 6-8 months by a fire.

Business mix & capacity

Domestic vs export: Domestic-focused; no export share given. B2C retail wire was about 10-12% of volumes in Q2.

> **Capacity use:** Installed about 6.8 lakh tonnes; capacity use was 74% in FY26 calls. Specialty: IHT 9,000 tonnes, OHT 6,000 tonnes coming, steel cord 20,000 tonnes (goal 2 lakh tonnes), bead wire 30,000 tonnes nameplate running at 10,000-15,000.

3. Earning Trigger thesis

The trigger is the large Dadri plant finally running smoothly. As it ramps, costs per tonne for power, gas and labour drop, and EBITDA per tonne hit a record. On top come specialty wires (IHT, OHT, steel tyre cord, bead wire) that earn two to three times the normal margin, and a growing retail wire business with about 50% higher margin. Capacity rises another fifth by end of next year, paid from cash flow. The catch: it's still a spread business on steel prices, wire-rod supply can pinch, and the big steel-cord prize depends on tyre-maker approvals that were delayed by a fire.

Trigger	What management said	Evidence so far	Time horizon	Strength
Dadri scale benefits	Economies of scale 'finally' coming in	EBITDA per tonne about Rs 8,000, a record	Now	Strong
Specialty wires	IHT-OHT EBITDA Rs 15,000-20,000 a tonne; steel cord goal 2 lakh tonnes	IHT EBITDA positive; steel cord trial orders	FY27-FY29	Moderate
Capacity to 8.3 lakh tonnes	Dadri +60,000 and Sanand 90,000 tonnes	Dadri mostly built, in CWIP	By end FY28	Moderate
Cash and ROCE	Rs 800 cr OCF over FY27-FY28; ROCE 25%	Rs 339 cr in H1; ROCE about 22%	FY27-FY28	Strong

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	Yes	Debt reduced by about 40% in six months to about Rs 300 cr (23 Oct 2026).
New business	Yes	B2C farming, fencing and poultry wires; steel tyre cord trials with two customers (23 Oct 2026).
Margin up	Yes	Record EBITDA per tonne from Dadri scale and better mix (23 Oct 2026).
New management	No	Only a new head of investor relations.
New capacity	Yes	60,000 tonnes at Dadri and a 90,000-tonne Gujarat plant, to about 8.3 lakh tonnes by end of next year (23 Oct 2026).
Big orders	No	No order book; sells across 3,500 products.
Turnaround	No	Recovered from a weak Q1, but not a loss-maker.
Promoter buying	No	Not mentioned; a stock split was done to widen retail holding.

The single concrete driver: The big Dadri plant has stabilised, cutting costs per tonne, while higher-margin specialty and retail wires grow and more capacity comes by end of next year.

3c. Margin bridge

EBITDA per tonne rose to about Rs 8,000 from the Rs 7,000-8,000 range. Dadri's scale lowered power, gas and labour costs, the mix shifted toward high-carbon and retail wire, and about Rs 200 a tonne was a one-time inventory gain from rising steel prices. Management still guides Rs 7,000-7,500 for H2 (lasting).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Jul 2025	30% volume growth in FY26	33% for FY26	Delivered
Jul 2025	Specialty products operational within FY27		Partly

Period	What was promised	What actually happened	Verdict
		IHT live and EBITDA positive; OHT due Q3-Q4; steel cord slowed by a fire	
Nov 2025	Rs 250 cr operating cash flow in FY26, Rs 600 cr over FY26-FY27	Rs 333 cr in FY26; Rs 339 cr in H1 FY27; target raised	Delivered (over)
Nov 2025	25% ROCE by 2027	About 22% annualised in Q2 FY27	On track
Apr 2026	Back to 20% growth trajectory after Q4 gas disruption	H2 FY27 guided at 20%; Q2 volume about 13% higher	Too-early
Jul 2026	EBITDA Rs 7,000-8,000 a tonne	About Rs 8,000 in Q2	Delivered

Narrative drift: The story moved from 'volume and capacity' to 'profit per tonne, cash and return on capital', a sensible shift once Dadri was built. The backward-integration project was deferred in FY26 and steel cord slipped after the fire, but the headline targets have mostly been met or beaten, and management says it guides on the low side.

5. Bottom line

Durable earning trigger? → YES

Dadri's scale benefit is showing in record per-tonne profit, with more capacity and higher-margin specialty wire to follow. It's still exposed to steel prices and wire-rod supply.

Management consistent? → YES

Volume, cash flow and margin targets were met or beaten. Steel cord is late and backward integration was shelved, but those were explained, and the core promises held.

6. Checkpoints for next quarter

- H2 FY27 volume grows about 20% on last year's H2
- OHT wire line starts production by Q4 FY27
- First commercial steel tyre cord order is received

This is not investment advice. Do your own due diligence.